

Merits of the Market System



Learning objectives

After this lesson, you are able to:

- Explain reallocation of resources in market system
- Explain how efficiency is achieved in market system
- Explain merits of market system

Market system

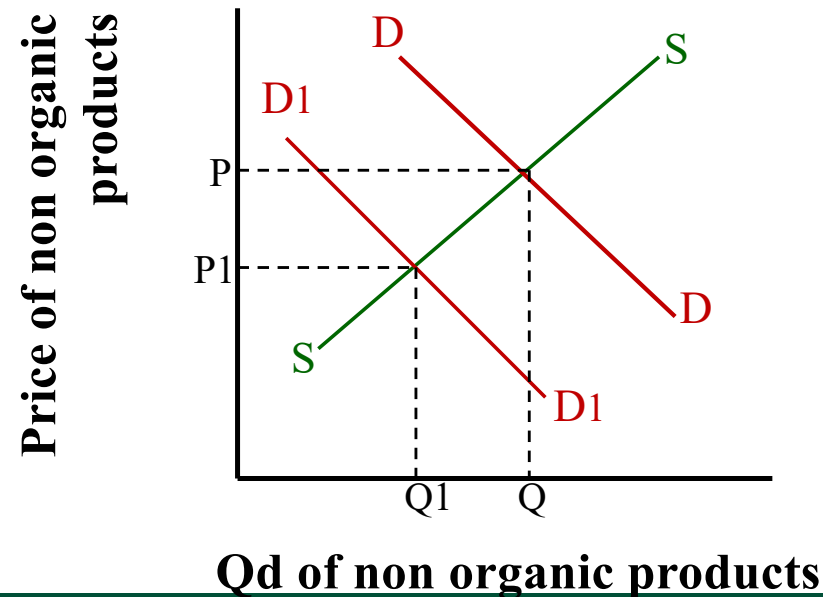
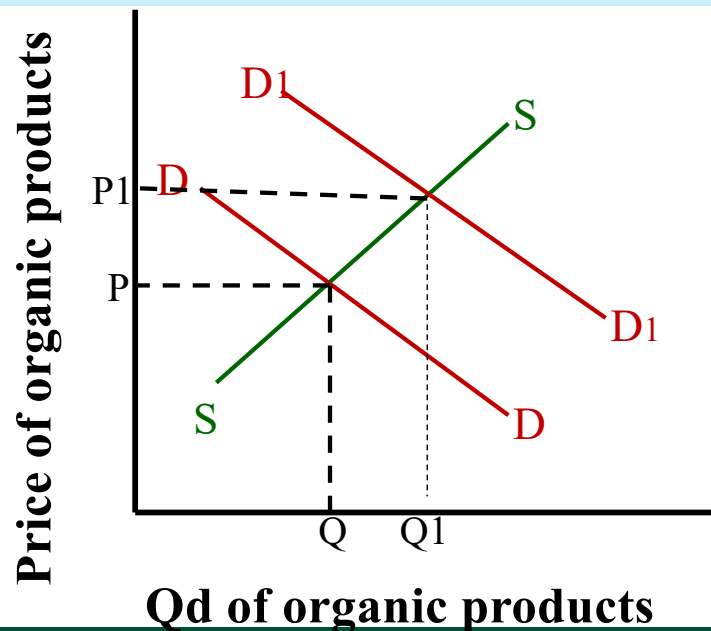


- **A market economy** is an economy that has no government intervention in the allocation of resources & distribution of goods/services. This is also called **a free market economy**.
- resources will move automatically as a result of changes in **price**. High price (high profit) will attract more firms (resources) to supply this product
- Price changes are determined by the interaction of **demand** and **supply**.
- This section explores the **advantages** of a market system mentioned in previous unit (Market and mixed economies) in greater depth.

Reallocation of resources

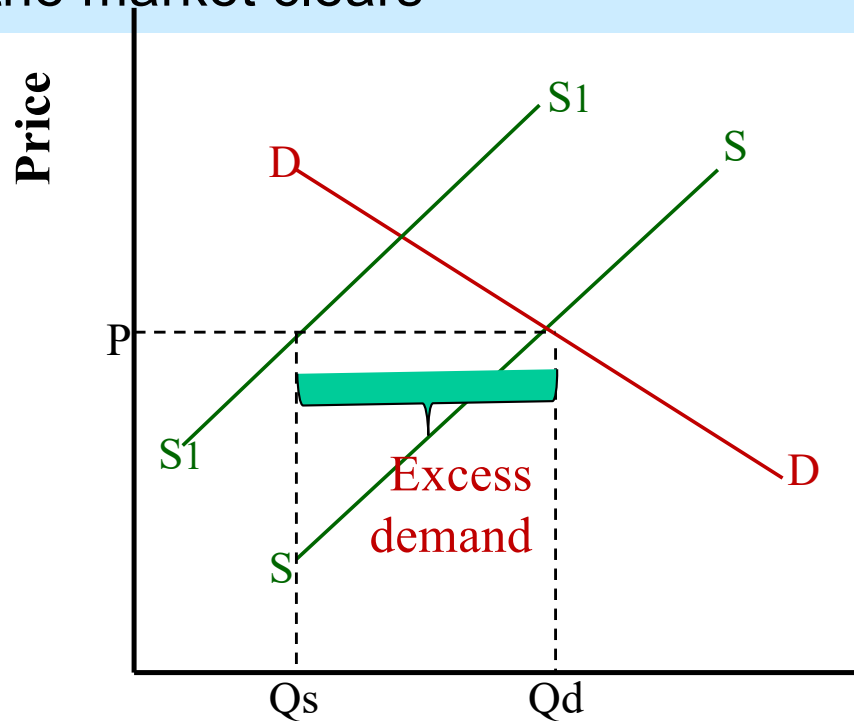
The use of resources **changes** all the time in **response** to changes in consumer demand and cost of production.

*Imagine if there is an increase in the **demand** for organic food products, there will be a decrease in demand for processed food products and **resources** will be moved towards the production of organic food products*

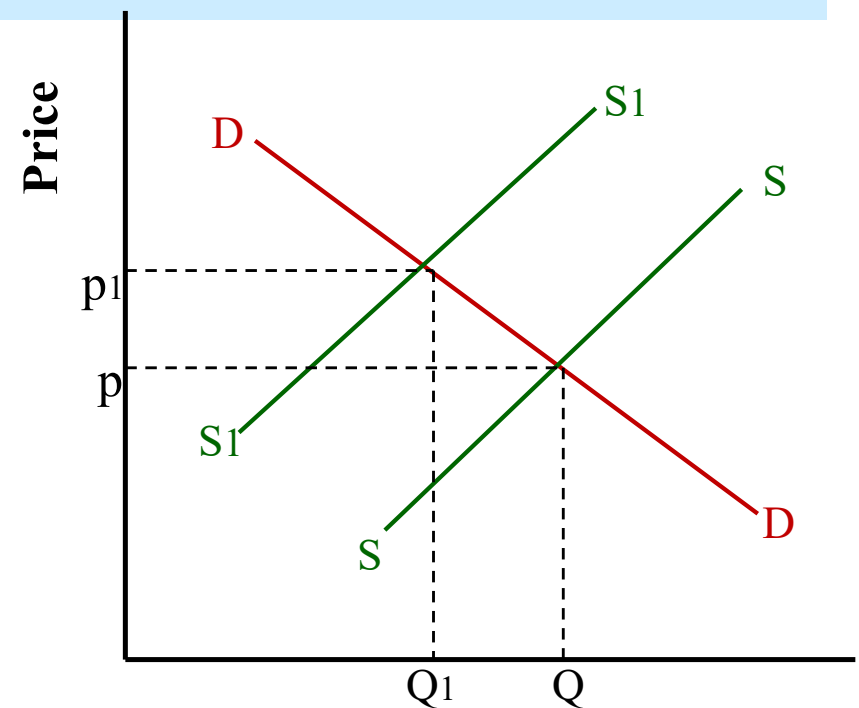


Reallocation of resources

On the **supply** side, market forces (demand and supply) will also determine supply. When supply suddenly **reduces** (flood on cropland), there will be an initial **excess demand** which will drive up prices until the market clears



Initial response to a fall in supply



Market clearing

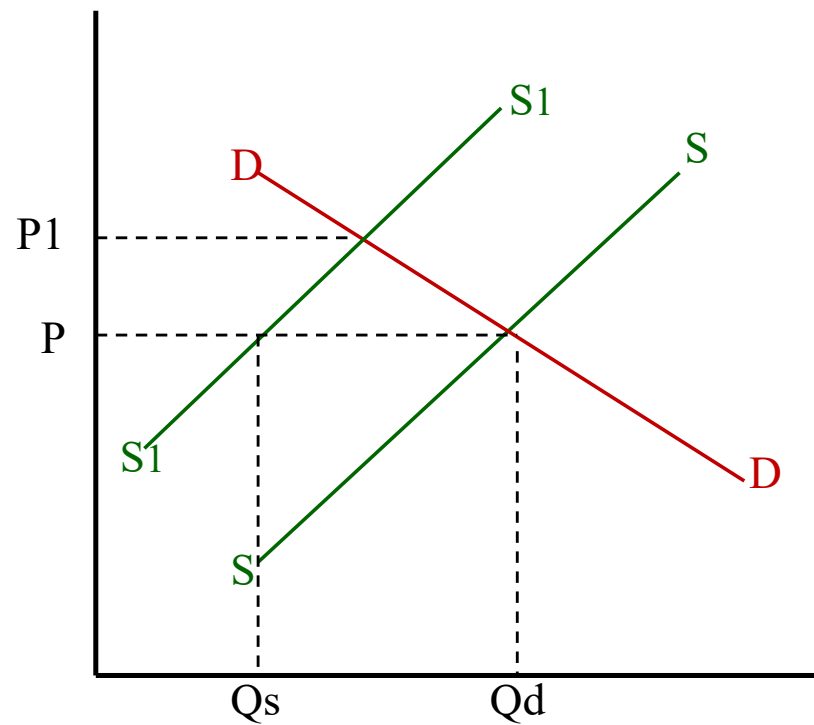
Let's practice!

The price of onions tripled in India in 2006. Traders blamed the hike in price on a poor crop after unusually light monsoon rains. In the same year in India, the price of tomatoes rose largely due to higher demand caused by an increase in urban incomes.

- a. Draw a diagram, in each case, to show why the price of onions and the price of tomatoes rose in urban incomes.
- b. Explain how, in each case, the markets responded to changing circumstances.

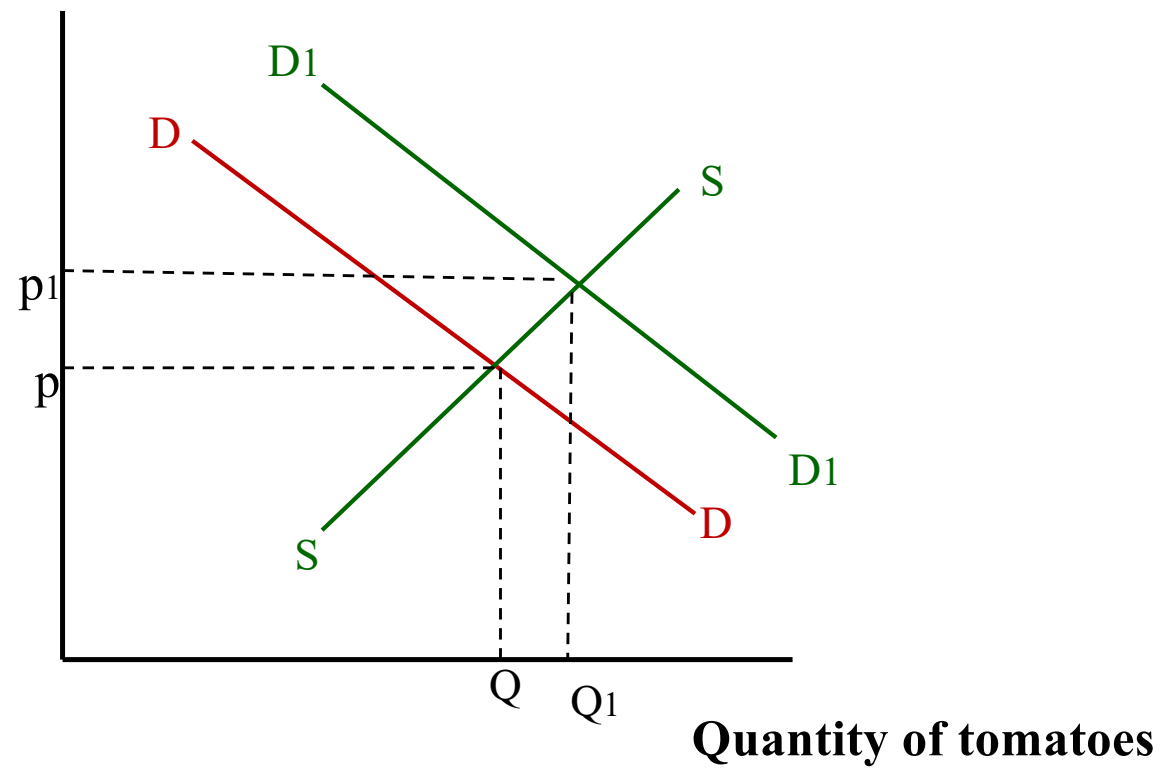
a.

Price of onions



Quantity of onions

Price of tomatoes



b.

The market for onions responded to the shortage caused by the poor crop by an increase in price. The higher price rationed out the onions and restored the market to equilibrium.

The higher demand for tomatoes raised their price and encouraged the producers to supply them in greater amounts .

Competition and Incentives

Competition:

The nature of a market system determines the level of **competition** in the market.

When competition is **high** (many firms in the market) consumers will have more **choices** and they will decide what is produced.

*This is known as consumer **sovereignty***

- **Actual competition** arises when there are many **rival firms** in the market
- **Potential competition** occurs when it is easy for firms to **enter** the market

Competition and Incentives

Competition:

- If the price of Product A is **high**, consumers will choose Product B with a lower price. Firm A will lose its consumers.
- To keep the **market share**, pressure will be on firms to keep their price low in order to stay in business. In order to **maximize** their **profits**, they seek to keep the **costs** low.
- Therefore, **high** competition (actual or potential) should also result in **low** prices.
- Competition makes market efficient.



Importance of Competition and Incentives

Incentives:

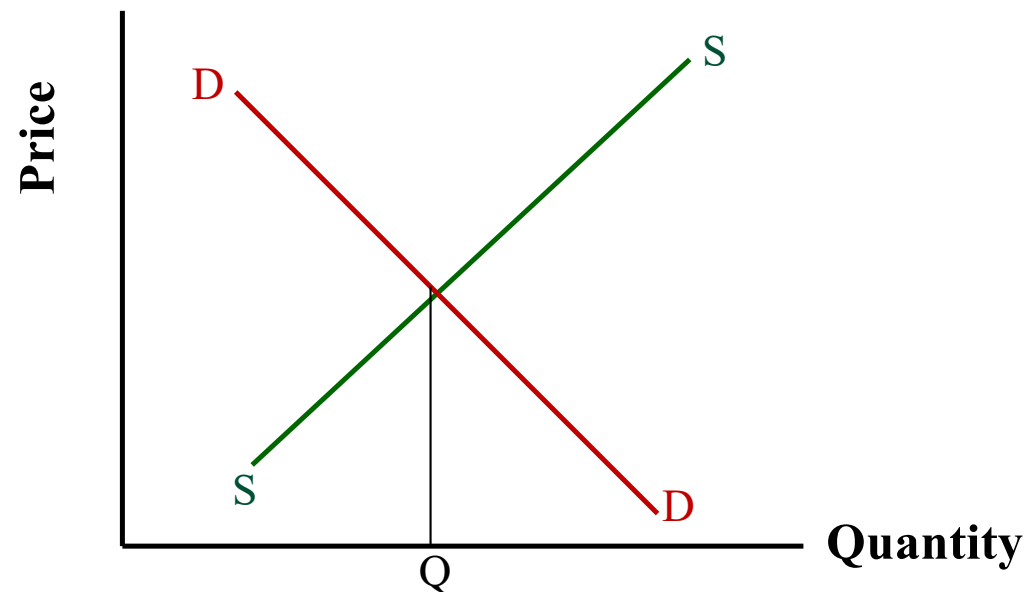
- Market system providing a **carrot** (reward) and a **stick** (punishment) to promote efficiency.
- To gain profits and avoid losses, entrepreneurs try to meet consumers' needs and wants in order to obtain and maintain their consumers
- In **labour markets**, workers try to develop their skills, work hard, take more responsibility and be more geographically or occupationally mobile to **receive high incomes**.



Allocative efficiency

It occurs when **resources are allocated in a way that maximizes customer satisfaction.**

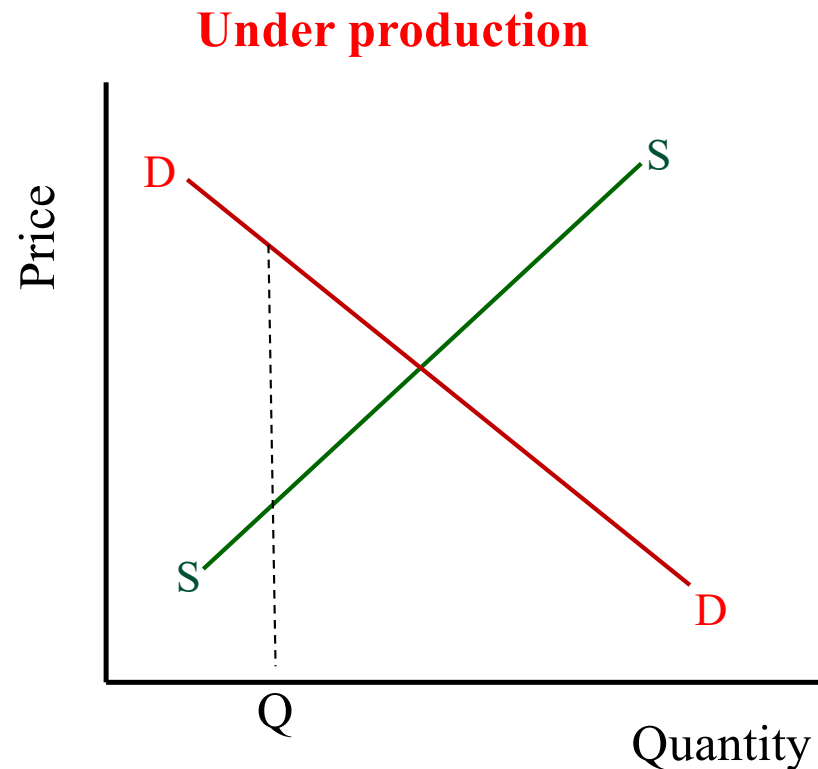
- Allocative efficiency is achieved when the quantity of goods demanded is **equal** to the quantity supplied.



Allocative inefficiency

Occurs when the quantity demanded is not equal to the quantity supplied

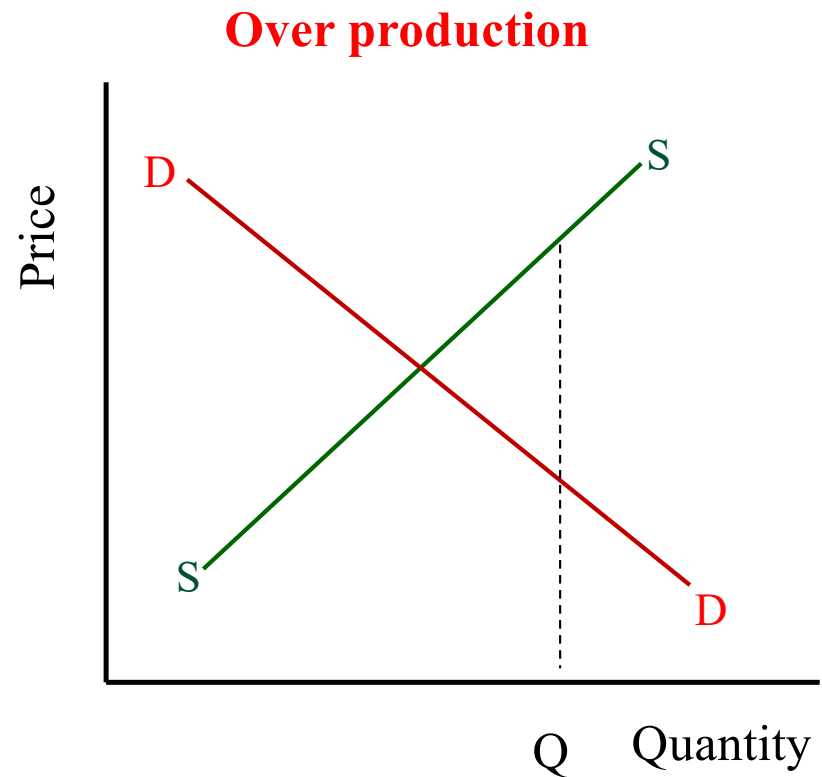
When there are very few resources allocated for production which results in under production



Allocative inefficiency

Occurs when the quantity demanded is not equal to the quantity supplied

When there are too many resources allocated for production which results in over production



Allocative efficiency

- Market forces, by changing prices, should **eliminate** shortages and surpluses and move market towards **allocative efficiency**.
- In a competitive market, a firm has both **an incentive in the form of profit** and **a threat of punishment in the form of a risk of going out of business** to be allocatively efficient.
- Meet consumer's needs → gain a larger market share and earn high profits (**carrot**)
- If not → lose sales to rivals and may be driven out of the market (**stick**)

Let's practice!

In recent years, UK consumers have become more health conscious. This has led to a fall in demand for crisps. A number of crisp producers have gone out of business.

- a. What effect is a fall in demand likely to have on price?
- b. What evidence is there in the passage, of the UK crisp market working efficiently?

- a. A fall in demand would be likely to lower the price.
- b. The evidence is that resources moved out of the crisps industry, in response to a decrease in demand.

Production efficiency

When a firm is producing at the **lowest** possible average costs (costs per unit) then it has **production efficiency**.

High competition means firms should have both **allocative** and **production** efficiency

A firm with **high** production efficiency does not waste resources

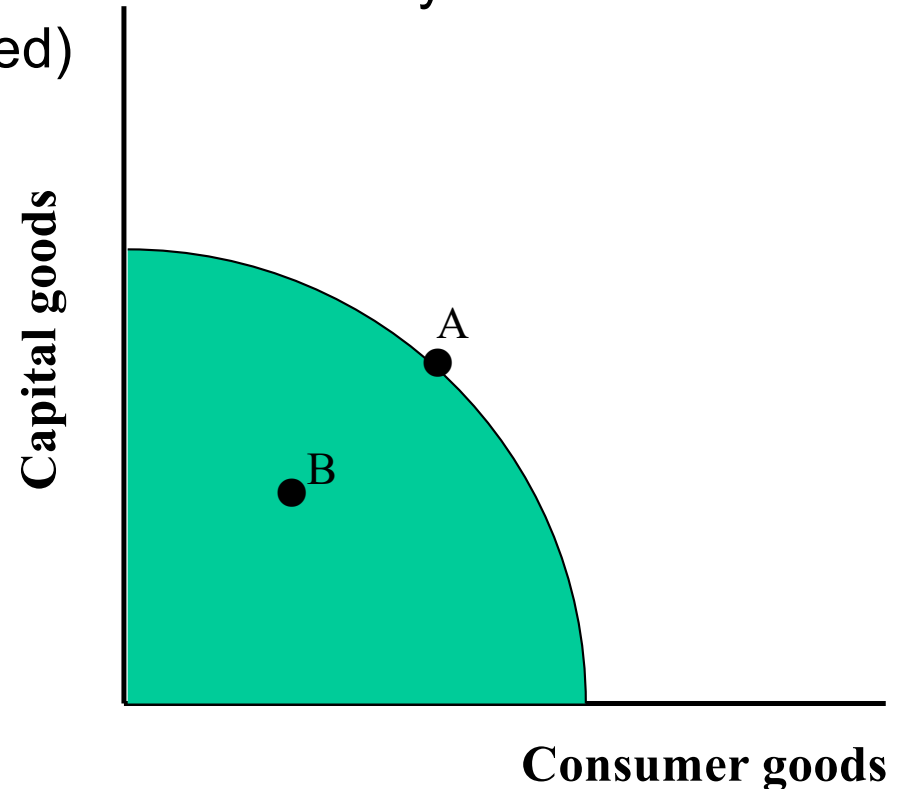
If all producers are productively efficient, then the whole economy will be able to fully utilize (use) its resources and will be producing on the production possibility curve (PPC)

Production efficiency

Point **A** shows productive efficiency. The economy is producing as many products as possible with its available resources and technology. At point **B** shows productive inefficiency as some resources are not fully utilized (used)

If a firm is productively inefficient, it loses its market share (customers) and profits. **Why?**

It will be producing at high average costs and therefore, will increase prices which will drive away customers



Dynamic efficiency

When a firm uses resources efficiently over a period of time, then it has *dynamic efficiency*.

How can a firm be dynamic efficient?

- It can carry out research and develop new or improved products
- It can use technology to innovate (use new machines or new methods of production)

Advantages of a Market system

A market system can provide benefits to both consumers and producers over a period of time

To the consumers

- Consumer sovereignty (*power to determine what is produced*)
- More choices
- Low prices
- High quality products

To the producers

It can be an incentive to be efficient and improve production methods to avoid wastage of resources

They can produce high quality goods which increases market share

It also encourages **workers** to acquire the necessary skills for those jobs which have high demand